

Tentative Rulings for Department 503

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Tentative Ruling

Re: **Wells Fargo Bank, N.A. v. Key Island, LLC**
Superior Court Case No. 25CECG01764

Hearing Date: June 24, 2026 (Dept. 503)

Motion: Substitute BMARK 2018-B7 East Street, LLC as Real Party
Plaintiff

Tentative Ruling:

To grant and substitute BMARK 2018-B7 East Street, LLC for Wells Fargo Bank N.A. for all purposes.

Explanation:

Plaintiff Wells Fargo Bank, N.A. was holder of the Deed of Trust and Assignment of Leases and Rents at issue in this action. On November 19, 2025 these were transferred to BMARK 2018-B7 East Street, LLC ("Bmark"). Bmark succeeded to all assets, liabilities, and interests relating to the subject loan and the Property as of November 19, 2025." (Yee Decl., ¶¶ 6, 7.) Accordingly, Wells Fargo seeks to substitute Bmark as real party in interest, both as plaintiff and as to NNN Capital Fund I, LLC's ("Intervenor") complaint in intervention.

Substitution is sought pursuant to Code of Civil Procedure § 368.5, which provides "[a]n action or proceeding does not abate by the transfer of an interest in the action or proceeding or by any other transfer of an interest. The action or proceeding may be continued in the name of the original party, or the court may allow the person to whom the transfer is made to be substituted in the action or proceeding." The statute grants the court discretion with regards to the substitution of the original party.

Intervenor does not object to the substitution with regards to the affirmative claims brought by Wells Fargo, but claims it would be prejudiced because the Yee Declaration states that "BMARK succeeded to all assets, liabilities, and interests relating to the subject loan and the Property as of November 19, 2025," which was seven months into the action. (Yee Decl., ¶ 7.)

However, the assignment clearly took place on November 19, 2025. It does not state or infer that Bmark assumed only those liabilities arising after November 19, 2025. The court intends to grant the motion and substitute Bmark for Wells Fargo for all purposes, in light of the fact that the transfer encompassed "all assets, liabilities, and interests relating to the subject loan and the Property." (Yee Decl., ¶ 7.) Bmark succeeds to Wells Fargo's liability as they relate to the loan and property. Intervenor's concerns about the date of the assumption is misplaced – the November 19, 2025, date refers to the effective date of the transfer, not a limitation on the scope of the liabilities assumed. (See Yee Decl. ¶¶ 6-7.) Intervenor identifies no claim or liability that would be lost or impaired by full substitution of Bmark in place of the Wells Fargo.

